Aritzia Inc (TSX: ATZ)

C&R | Apparel Retail | International **Nathaniel Balkaran | February 15th, 2026**

Stock Rating: **BUY**
Target Price: **$140.33**

Analyst Coverage

TD Securities	Buy: $155
Canaccord Genuity	Buy: $164
UBS	Buy: $168
RBC Capital	Buy: $150

Key Financials

Current Price (Feb 10)	$110.99
Market Cap (mm)	$13,920
Current Net Debt (mm)	$919.2
Enterprise Value	$13,824
Shares Outstanding (mm)	120.00
Dividend	$0
Dividend Yield	0%
52-Week Range	$36.51-139.59

Management

Jennifer Wong	CEO
Todd Ingledew	CFO
Brian Hill	Executive Chairman

Company Overview

Founded in 1984, Aritzia Inc. (TSX: ATZ) has established itself as a leading vertically integrated design house in the "Everyday Luxury" apparel segment. The company's primary offering is a diverse portfolio of exclusive brands including Wilfred, Babaton, and TNA, each conceived and developed in-house to cater to a global demographic of consumers aged 15 to 45. By leveraging a premier boutique network of 139 locations and a rapidly scaling e-commerce platform that accounts for 37% of sales, Aritzia bridges the gap between fast fashion and traditional luxury. The United States has emerged as the company's primary growth engine, now representing approximately 60% of Q3 2026 revenue. Management is currently executing a disciplined real estate strategy to capitalize on this momentum, focusing on a long-term runway to expand the U.S. footprint from its current 74 boutiques to more than 150 locations. Supported by a successful mobile app launch and continued digital acceleration, Aritzia maintains a market capitalization of approximately $13.9B (see exhibit 5) with $3.38B in projected FY2026 revenue, growing at a 32% to 33% annual rate while maintaining adjusted EBITDA margins of approximately 20%

Industry Analysis

Aritzia operates within the Apparel Retail industry, but its business model occupies a unique space known as "Everyday Luxury." This segment is uniquely positioned between low price, high volume Fast Fashion retailers like Zara and H&M and high price, low volume Pure Luxury retailers like Gucci/Prada. By offering high-quality fabrics at an accessible price point, Aritzia bridges a gap that traditional mid-market retailers have failed to fill. The North American luxury and premium apparel market, valued at USD $68.7B in 2025 and projected to reach USD $111.6B by 2035, is experiencing a significant post-2024 rebound driven by aspirational shoppers returning to premium brands. Much of this growth is driven by E-commerce, which now accounts for over 20% of total luxury sales in the region. Notably, the retail industry is currently experiencing a "K-Shaped" split into two winning extremes, a phenomenon known as bifurcation. Discount retailers such as Walmart and TJ Maxx are winning price-sensitive customers whereas premium brands such as Lululemon and Coach are winning affluent consumers who are less affected by inflation and higher interest rates. This results in a squeezed middle market of retailers like The Gap that are losing market share because they lack both luxury appeal and the value of discounts. Aritzia's success is rooted in its ability to stay on the premium side of this split.

This bifurcation is further highlighted by the contrast between the consolidated Canadian market and the fragmented U.S. landscape. In Canada, the industry is an oligopoly where a few established players command nearly 70% of the specialty contemporary segment. Aritzia is a dominant leader in its home country, holding an estimated 13% market share and competing primarily with Lululemon, which holds 7.5% of the total Canadian apparel market, and the Montreal-based Dynamite Group, which captures roughly 2.2% of the women's segment. Conversely, the U.S. market is vastly more fragmented, with the top five premium brands collectively commanding less than 45% of the segment. Aritzia currently holds a minimal 1.9% share in the U.S., where it faces a diverse set of rivals including Reformation, Abercrombie & Fitch, Club Monaco, and Anthropologie. This lack of a single dominant "Everyday Luxury" player in the U.S. provides a massive growth runway. With the U.S. market nearly ten times the size of Canada's, Aritzia's target of expanding from its current 74 boutiques to 150+ locations represent a strategic capture of available whitespace

Investment Thesis

We recommend a BUY rating for Aritzia Inc with a price target of $140.33, representing a 26.4% upside from the price of $110.99 as of February 10th, 2026. Unlike broader consensus which forecasts an aggressive upside of up to 51.3%, our valuation applies a more rigorous margin of safety. Our thesis is built on Aritzia's successful transition into a U.S.-focused growth phase and its unique vertically integrated model that creates a strategic "Everyday Luxury" moat.

1) Aggressive U.S. Expansion

The primary driver of our valuation is Aritzia's massive, under-penetrated runway in the United States. Following a record breaking $2.7B FY2025, the U.S. has officially become the company's primary revenue engine, now accounting for approximately 60% of total sales (see Exhibit 1), yet the brand is still in the early innings of its physical expansion. Aritzia currently operates 73 boutiques in Canada, a market where the brand is nearing full saturation with YoY growth stabilizing at ~6% (see Exhibit 1). Comparatively, the U.S. is projected to continue to grow at ~30% annually as management pushes for aggressive growth (see Exhibit 1). Applying a broad 1:10 growth ratio given that U.S. population and retail spend are approximately ten times those of Canada, Aritzia has a theoretical capacity for 700+ U.S. locations. Management's goal of opening 10+ new U.S. boutiques annually to reach 150+ prime locations by FY2027 is a highly conservative execution of this potential. Even at 150 stores, Aritzia will only have captured ~22% of its theoretical U.S. footprint, leaving a multi-decade runway for further expansion and allowing revenue growth to stabilize at a greater than average ~20% (see Exhibit 1). The expansion is "de-risked" by consistent 12-to-18-month payback periods on new U.S. stores. This rapid capital recycling allows Aritzia to self-fund its growth, evidenced by the $620.5M cash position reported at the end of Q3 2026 and 7.2% debt-to-equity ratio.

2) Vertical integration

Our second pillar focuses on Aritzia's strong vertical integration, allowing them to keep control of all aspects of the product cycle and maintain strong margins. The most notable moat is their 96% in-house brand model. By owning the intellectual property for its entire portfolio (Wilfred, Babaton, TNA), Aritzia captures the full vertical margin, avoiding third party vendor pressures and licensing fees. This integration provided a 46% gross profit margin in FY2025, outperforming multi-brand retailers in the same product group. Furthermore, with the recent completion of the automated BC Distribution Center and the launch of the Aritzia App with over 1.4M downloads to date, the company is showing an acute focus towards cost cutting and volume generation.

This degree of vertical integration also manifests through a history of synergistic M&A and Sub-Branding. The most prominent example being the successful integration of Reigning Champ, providing Aritzia with a turnkey entry into the premium menswear and athleisure market. This seamless acquisition allows for immediate cross-pollination of technical manufacturing and design expertise. Simultaneously, the "Super World" concept has transformed the "Super Puff" jacket from a single product into a standalone lifestyle sub-brand. Both strategies greatly expand the company's Total Addressable Market beyond traditional women's contemporary wear. Additionally, Aritzia's disciplined approach to collaborations, most notably with on-brand fashion leaders like Nike and Sperry enhance its "Everyday Luxury" prestige and act as high-margin customer acquisition tools without diluting brand equity.

Valuation

Based on our analysis, Aritzia is strategically undervalued and possesses an attractive 26.4% implied upside. Given management's successful execution of the U.S. expansion and the operational leverage gained from recent infrastructure investments, we expect significant Fixed-Cost Leverage to drive EBITDA margins toward 20% as SG&A scales more efficiently. Even when applying a conservative 9.4% WACC and a terminal value based on a normalized 16.0x Exit Multiple, our Discounted Cash Flow analysis indicates that Aritzia remains underpriced by the market with an implied equity value of $16,797.1M. To further validate the resilience of this valuation, our Sensitivity Analysis (Exhibit 5) demonstrates that even under a higher 10.4% WACC and a lower 15x terminal multiple, the implied share price remains above current trading levels, while our base-case assumptions yield a robust range between $132.93 and $148.25. Despite being a premier leader in the "Everyday Luxury" space with a proven 1:10 market capture opportunity, this conservative relative valuation still yields a robust target share price of $140.33.

Appendix

Exhibit 1:

Revenue and Expenses

	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	$2,738.1	**$3,384.3**	**$4,188.9**	**$5,036.6**	**$5,843.8**	**$6,800.4**
Revenue Growth	*17.40%*	*23.6%*	*23.8%*	*20.2%*	*16.0%*	*16.4%*
Cost of Revenue	*1,557.5*	*1,912.1*	*2,345.8*	*2,810.4*	*3,237.5*	*3,740.2*
Cost of Revenue Margin %	*56.9%*	*56.5%*	*56.0%*	*55.8%*	*55.4%*	*55.0%*
Gross Profit	**1,180.6**	**1,472.1**	**1,843.1**	**2,226.2**	**2,606.3**	**3,060.2**
Operating Expenses:						
SG&A	939.2	1,160.8	1,436.8	1,727.6	2,004.4	2,332.5
as % of Sales	*34.3%*	*34.3%*	*34.3%*	*34.3%*	*34.3%*	*34.3%*
R&D	–	–	–	–	–	–
as % of Sales	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Other	-54.49	–	–	–	–	–
as % of Sales	*-2.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Equity in Income of Investees	*0.00*	*0.00*	*0.00*	*0.00*	*0.00*	*0.00*
as % of Sales	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
EBIT	**295.9**	**311.4**	**406.3**	**498.6**	**601.9**	**727.6**
EBIT Margin	*10.8%*	*9.2%*	*9.7%*	*9.9%*	*10.3%*	*10.7%*
Other Non-Operating Income	-27.38	0.00	0.00	0.00	0.00	0.00
as % of Sales	*(1.0%)*	–	–	–	–	–
Interest Expense	48.74	60.24	74.56	89.65	104.02	121.05
as % of Sales	1.8%	1.8%	1.8%	1.8%	1.8%	1.8%
(-) Taxes	8.9	82.5	107.7	132.1	159.5	192.8
Tax Rate	3.0%	*26.5%*	*26.5%*	*26.5%*	*26.5%*	*26.5%*
NOPAT	**287.0**	**228.8**	**298.6**	**366.5**	**442.4**	**534.8**
EBITDA		**573.1**	**804.3**	**977.1**	**1,157.1**	**1,373.7**

Exhibit 2:

Weighted Average Cost of Capital (WACC)

Capital Structure Weights

Market Value of Debt	919.2	
Market Value of Equity	12,750.2	
Debt/Equity (D/E)	7.2%	
% Equity (wE)	93.3%	
% Debt (wD)	6.7%	

Cost of Debt and Equity

Beta	1.30	*Adj. BETA*
Risk-free rate (RFR)	3.3%	*GCAN10YR Index*
Market Risk Premium (MRP)	5.0%	*Current shows 6.57 for FY2025, assumme Kroll standard due to high growth*
Cost of Equity (COE)	**9.8%**	*=E82+(E81*E83)*
Cost of Debt (COD)	5.5%	*From FY2025 Filings*
Tax Rate (T)	26.8%	*From FY2025 Filings*
After Tax Cost of Debt	**4.0%**	
WACC	**9.4%**	

Exhibit 3:

Comparable Companies Analysis

	Company Name	Price ($/share)	Market Cap ($M)	EV ($M)	Sales ($M)	EBITDA ($M)	Earnings ($M)	EV/Sales x	EV/EBITDA x	P/E x
		Market Data			Financial Data			Valuation		
CAD	**ARITZIA INC**	**110.99**	**13,920**	**13,824**	**2,740**	**377.24**	**207.70**	**4.2x**	**21.7x**	**40.7x**
USD	GAP INC	27.19	10,388	24,590	14,896	1,672	844	0.8x	4.4x	12.1x
CAD	LULULEMON ATHLETICA INC	169.53	20,892	29,498	9,619	2,936	1,550	1.9x	5.8x	11.8x
USD	ABERCROMBIE & FITCH CO	91.92	4,479	8,732	4,281	841	556	0.9x	3.7x	8.8x
CAD	CANADA GOOSE HOLDINGS INC	16.32	1,614	1,983	1,334	1,334	95	1.4x	10.0x	75.0x
	Mean							**1.3x**	**6.0x**	**26.9x**
	Median							**1.2x**	**5.1x**	**12.0x**

Exhibit 4:

Valuation

Discounted Cash Flows

	0.5	1.5	2.5	3.5	4.5
	2026E	**2027E**	**2028E**	**2029E**	**2030E**
Unlevered FCF	$284.7	$474.4	$651.1	$805.3	$992.6
Discount Factor	0.96x	0.87x	0.80x	0.73x	0.67x
Discounted FCF	272.1	414.3	519.5	587.1	661.2

Sum of Discounted FCF	**2,454.3**	

Terminal Value

Final Year EBITDA	1,373.7	
Exit Multiple	16.0x	*Currently trades at 20.0%, Assume normalization to 15% before exit*
Terminal Value	$21,978.9	
Discounted Terminal Value	**$14,641.5**	

Valuation

(+) Enterprise Value	17,095.8	
(-) Debt	$919.2	
(-) Minority Interest	–	*ATZ owns 100% of core operations*
(+) Cash	620.5	*As at Q3 2026*
Equity Value	$16,797.1	
Full Diluted Shares Outstanding	120	
Projected Share Price	$140.33	
Current Share Price	$110.99	
Implied Upside	*26.4%*	

Sensitivity Analysis

Exhibit 5:

Sensitivity Analysis

Projected Share Price

		WACC				
		7.4%	8.4%	9.4%	10.4%	11.4%
Terminal Value	14x	$135.68	$130.35	$125.27	$120.44	$115.83
	15x	$144.01	$138.33	$132.93	$127.79	$122.89
	16x	$152.33	$146.31	$140.59	$135.14	$129.95
	17x	$160.65	$154.30	$148.25	$142.49	$137.01
	18x	$168.98	$162.28	$155.91	$149.85	$144.07

Implied Upside

		WACC				
		7.9%	8.9%	9.9%	10.9%	11.9%
Terminal Value	14x	19.8%	15.1%	10.7%	6.4%	2.4%
	15x	27.2%	22.2%	17.4%	12.9%	8.6%
	16x	34.5%	29.2%	24.2%	19.4%	14.8%
	17x	41.8%	36.3%	30.9%	25.9%	21.1%
	18x	49.2%	43.3%	37.7%	32.4%	27.3%